Korea Playbook – September 2026

Hanwha Research Center

Corporate Analysis Team | So-hye Kim, Head of Corporate Analysis | August 28, 2026

Sector Investment Points

Sector	Investment Points	Top Picks	Analyst
IT			
Semiconductors	Easing concerns over AI CAPEX funding on credit/rate stability, with downside largely priced in Expanded shareholder returns and rising HBM4 prices driving earnings and book-value improvement and a share price rebound LTA expansion is lowering overcapacity and earnings volatility risk, encouraging a re-rating of memory valuations	Samsung Electronics	Park Junyoung
Communication Services			
Internet / Gaming	Downward earnings-estimate revision cycle for major companies nearing an end, with valuation multiples also notably low Monetization potential rising for AI cloud/factory businesses that had previously been internal-use-only services Disclosure of major anchor tenant contracts expected to enhance the credibility and valuation of the mid- to long-term AI Factory business	NAVER, NHN	Kim So-hye
Energy / Materials			
Steel	Meaningful spread improvement expected in 3Q on automotive steel sheet price hikes and stabilizing coking coal price volatility; with valuations undemanding, share prices expected to trend upward on meaningful earnings improvement Tight copper supply-demand balance to persist — LS MnM expected to sustain solid earnings, while LS Cable & System begins recognizing its high-margin order backlog and passes higher copper prices through to product pricing, expanding profitability	Hyundai Steel, LS	Kwon Ji-woo
Industrials			
Construction	Positive view on the sector overall, with favorable order intake expected across all construction disciplines Nuclear power remains the sector's single most important investment point Data centers, semiconductor fabs, and LNG are also expected to serve as key momentum drivers	Hyundai E&C, GS E&C	Song Yu-rim
Utilities	Nuclear power remains the sector's primary investment point Expected to benefit from expansion of "Team Korea" nuclear projects in the US, Romania, Vietnam, and elsewhere	KEPCO E&C	Song Yu-rim

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Power Equipment / Wind	Power equipment: with valuation burden easing versus H1, strong 2Q earnings and an upward revision to order guidance are reinforcing both earnings and order momentum; growth trend expected to continue on expanding exports to North America Wind: recovery in North American and European onshore wind demand on rising power demand — prioritize related names	Hyosung Heavy Industries, CS Wind	Kim Ye-in
Financials			
Banks	Amid growing concern over the entrenchment of elevated market rates, relative appeal is expanding for the sector as one that can benefit from both rising rates and a weaker currency simultaneously Large bank holding companies' FY27E total shareholder return yield is estimated at around 7%, keeping investment appeal intact	Shinhan Financial, KB Financial	Kim Do-ha
Insurance	Over the past month, the FY2027 operating profit consensus for the four major non-life insurers has been revised up by an average of 9%, mainly on expected improvement in insurance profit/loss from a narrower actual-vs-expected claims gap Recommend DB Insurance and Hanwha General Insurance considering improving fundamentals, dividend potential, M&A, and upside potential	DB Insurance, Hanwha General Insurance	Kim Do-ha
Consumer Discretionary / Staples			
Auto / Robotics	Auto/robotics share prices moved sideways in August after entering an undervalued range Amid a continued global demand slowdown, FX volatility could cause 3Q OEM earnings estimates to fluctuate Prefer parts makers that are FX-neutral while offering exposure to both electrification/E&E component growth and robotics commercialization	Hyundai Mobis, HL Mando	Kim Sung-rae
Food & Beverage	Export/overseas growth names expected to maintain their outperformance in H2; domestic-focused companies are defending against cost burdens via price hikes, though the degree of earnings improvement will diverge based on promotional spending and sales volume As cost variables differ by company, a selective approach focused on companies with confirmed earnings quality is needed	Samyang Foods, Lotte Wellfood	Han Yu-jeong
Cosmetics	K-Beauty is moving beyond a simple export boom into a phase of rising market share and value-chain-wide growth, driven by entry into new countries and offline channels Profitability improvement expected from expanded manufacturing scale; continued market share gains in the US point to ongoing strengthening of K-Beauty's own competitiveness	APR, Silicon2	Han Yu-jeong
Retail / Apparel	Concerns over a fading wealth effect in 3Q persist, but domestic consumption momentum is expected to strengthen again in 4Q as the income effect widens on expected year-end bonuses Department stores' structural growth continues, underpinned by inbound tourism growth and rising domestic income	Emart	Lee Jin-hyeop

Holding Companies			
Holding Companies	Governance reform expected to narrow the NAV discount applied to holding companies Corporate groups' capital-raising structures are shifting to be holding-company-centric, with wealth concentration expected at holding companies Under top-down decision-making, the portfolio management role of holding companies is being emphasized	SK	Lee Jin-hyeop

Hanwha Corporate Analysis Team Top Picks

Stock (Ticker)	Market Cap (KRW bn)	Investment Points	Analyst
Samsung Electronics (005930)	1,555,110.1	Considering the full-scale shipment of HBM4 and the company's technological competitiveness in HBM4, H2 is expected to be a favorable period for the company However, continued monitoring is needed to ensure hyperscalers' funding conditions do not deteriorate further	Park Junyoung
NAVER (035420)	32,924.6	Valuation (P/E of around 12–14x) is undemanding, and the likelihood of further downward earnings estimate revisions is low Expansion of the AI Factory business, which has not previously been a revenue source, is expected to drive mid- to long-term earnings growth and support multiple expansion In the near term, disclosure of major anchor tenant contracts is expected to enhance the credibility of the long-term 1GW capacity expansion plan and the valuation of the AI Factory business	Kim So-hye
Hyundai Steel (004020)	4,196.9	Meaningful spread improvement expected in 3Q on automotive steel sheet price hikes and stabilizing coking coal prices If meaningful earnings improvement continues, the share price is likely to trend upward Share price could benefit further if visibility improves on the shareholder return policy and on steel supply to semiconductor fabs/data centers	Kwon Ji-woo
Hyundai E&C (000720)	14,398.3	As the top-tier construction company with strengths across diverse regions and disciplines, expected to benefit from the construction sector upcycle	Song Yu-rim
GS E&C (006360)	3,158.0	Positive on earnings improvement next year, benefits from the Donghae AIDC (AI data center) project, and the positive changes following the Inima divestiture	Song Yu-rim
Hyosung Heavy Industries (298040)	28,710.3	Order growth expected to continue, underpinned by the company's track record in the North American ultra-high-voltage transmission market and its local production capacity From 2027, the Memphis plant expansion and localized GCB (gas circuit breaker) production are expected to strengthen competitiveness in transformer and circuit breaker supply Regional/product mix improvement is progressing via a growing share of North American orders and the ramp-up of high-value-added product sales, supporting a mid- to long-term step-up in earnings	Kim Ye-in
Hanwha General Insurance (000370)	902.4	FY2027 estimates revised up as insurance profit/loss improves on higher expected claims reserves alongside actual claims savings from the introduction of the managed benefits scheme As the only listed insurer combining new business volume growth with margin expansion, expected to post the steepest CSM growth in the sector High sensitivity to real-loss (actual-cost) health insurance, expectations for a dividend resumption, and the most undervalued valuation in the sector combine to make this an attractive investment case	Kim Do-ha

Stock (Ticker)	Market Cap (KRW bn)	Investment Points	Analyst
Hyundai Mobis (012330)	40,554.0	Despite slowing OEM demand, volume of vehicle models equipped with high-value-added, controller-centric E&E components continues to increase While North American electrification remains sluggish, growing volumes of affordable EVs in Europe such as the EV2 and Ioniq 3 are gradually helping the company's electrification business recover Unitree's successful listing demonstrates strong market expectations for robotics valuations; expectations for progress in the company's own robotics business also remain intact	Kim Sung-rae
Samyang Foods (003230)	11,148.9	Global demand remains solid across the US, China, and Europe, centered on the Buldak brand Gross margin improving on a rising share of overseas sales and better production efficiency Top-line growth visibility increasing via channel expansion centered on the US and China, new customer additions in Europe, and capacity expansion	Han Yu-jeong
Lotte Wellfood (280360)	1,251.8	Earnings improvement becoming visible on structural cost efficiencies and product mix improvement Overseas business showing high growth in India and solid sales in the CIS region, a factor for mid- to long-term valuation re-rating Valuation burden is low while the company stands out as the sector's clearest turnaround story	Han Yu-jeong
APR (278470)	16,266.9	Further top-line growth expected from online/offline channel expansion across five countries in North America and Europe Maintaining high profitability even amid a surge in revenue confirms the brand power of the cosmetics business Revenue growth expected to continue in 4Q as major shopping events and the effects of channel/regional expansion converge	Han Yu-jeong
Silicon2 (257720)	3,223.1	Limited concern over profitability erosion despite high growth and scale expansion in Europe and North America Established distribution infrastructure allows the company to absorb logistics/customs risks that would otherwise burden brand partners	Han Yu-jeong
Emart (139480)	2,042.1	July discount-store same-store sales growth estimated in the high-single-digit range; solid growth continuing on domestic consumption recovery and the spillover benefit from Homeplus Termination of Homeplus's rehabilitation process is accelerating demand transfer; absorbing 30% of that revenue could improve operating profit by KRW 300–400 billion Concerns over weakness at SCK Company (Starbucks Korea) persist, but earnings estimates are expected to be revised up on core business growth and the Homeplus spillover benefit	Lee Jin-hyeop
SK (034730)	40,311.5	Largest beneficiary of the shift toward a holding-company-centric capital-raising structure NAV expansion expected across SK's portfolio as the SK Group's AI data center business moves into full-scale execution	Lee Jin-hyeop

Note: all market cap figures as of August 28th closing price / Source: Hanwha Research Center

Stock Investment Ratings

- 'Buy' is assigned if expected absolute return is over +15% for the next year. - 'Hold' for -15% to +15%; 'Sell' if less than -15%. - Evaluation and change cycles depend on industries/stocks and the analyst's estimates.

Industry Investment Ratings

- 'Positive' if sector expected to outperform historic returns over next year. - 'Neutral' if sector expected to match past returns. - 'Negative' if underperformance is expected. - Based on analyst's comprehensive judgment.

Investment Rating Distribution (as of March 31, 2026)

Investment Rating	Buy	Neutral	Sell	Total
% of Coverage	90.7%	9.3%	0.0%	100.0%

Compliance Notice

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